HS 125 End Semester Examination

F.M.: 60

$\Delta Y = \alpha_G \Delta G$

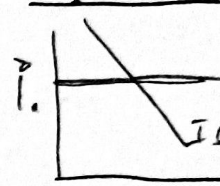
$t\Delta Y$

$t\alpha_G \Delta G - \Delta G$

Answer any five questions: (12x5=60)

1. What is meant by open market operation? Using an IS-LM model, explain the effects of an open market operation and a liquidity trap.

2. What factors determine the degree of crowding out? In the context of an expansionary fiscal policy, using an IS-LM framework, explain when there will be:
   (1) no crowding out
   (2) full crowding out



liquidity trap

3. Explain in detail the effect of (a) an income tax cut, (b) government spending and (c) an investment subsidy on:
   (1) interest rate
   (2) consumption
   (3) investment
   (4) GDP

$G\uparrow$

monetary policy ...

$R = P_t$

4. Explain how in an efficient market, all unexploited profit opportunities on part of investors will be eliminated.
   Suppose that a share of company "X" had a closing price yesterday of $\boxed{\text{Rs.110}}$ ($\to P_t$) but new information announced after the market closed caused a revision in the forecast of price next year to go to $\boxed{\text{Rs.150}}$ (P_{t+1}). If the annual expected return on company "X" is $\boxed{5\%}$ (R), according to Efficient Market Hypothesis, how much will the price go to today when the market opens?

5. What are the factors leading to a financial crisis? What is meant by balanced budget multiplier?

6. What is financial consolidation? What challenges do financial consolidation pose for financial regulation in the presence of government safety nets?

govt safety nets